

Extreme Networks, Inc. (EXTR)**Neutral****Best Positioned Enterprise Co, But Downgrading To Neutral On Space's Lack Of N-T Catalysts****Summary**

The Extreme report was a mix of good and bad news with more bad than good. On the positive side, bookings are improving, the decks are cleared on backlog and channel inventory, SaaS growth is strong, and Juniper (JNPR, Neutral), which had grabbed the top spot in Enterprise momentum, will most likely be hobbled in the market by the pending HPE acquisition. HPE could also lose share at an accelerated rate due to customer concerns about uncertainty.

Our downgrade of EXTR to Neutral is not because the March quarter guidance is disappointing and estimates are dropping. The ratings change is because we don't see exciting near-term catalysts in the Enterprise Unified Access and Cloud space. The company believes it can regain normalized 10+% revenue growth in FY26, but history suggests 5% may actually be normal. We think Extreme is a good company and management is doing the right things. However, to us, the Enterprise Networking market is looking for a catalyst that eventually may be more AI-based workflow automation with killer apps that demand Enterprises increase networking investment intensity.

What happened in the December quarter - In early January, Extreme preannounced an ~8% revenue miss for 2Q24 due to the industry headwinds of channel digestion and elongated sales cycles. Product B-B improved and came in at just below 1.0 on the lower revenue number. While total orders decreased sequentially, and U.S. orders were down y/y, EMEA and APAC bookings each grew double-digits y/y. Extreme's backlog is now back to normal levels, which happened faster than expected. Distributor channel inventory is also being taken to very lean levels in the March quarter. The company guided product revenues down ~\$60mn q/q in 3Q23 with ~\$45mn due to reduction in channel inventory and the rest related to seasonality and longer sales cycles.

What Extreme is excited about - Management said it made the conscious decision that March will be the final quarter with channel digestion issues, and backlog has normalized. EMEA and APAC orders improved. Extreme has added 14 Managed Service Provider partners with 7 already driving transactions. The company launched WiFi7 Access Points and new 4000 series Universal Switches this week. COO Norman Rice is now Chief Commercial Officer. He is a strong executive who can likely improve the distribution and long-term revenue strategies. SaaS ARR grew 37% y/y and recurring revenue was 34% of total. Orders were good from the Education, Manufacturing, Travel and Logistics verticals, and E-Rate funding in the Education vertical is strong.

What is the right L-T growth rate - In the past we have defended Extreme's 10% to 12% long term revenue growth guidance, saying it should be driven equally by recurring revenue growth, overall market growth, and share gains. However, looking at the total revenue trajectory from FY20 to FY24E, the company appears to have a 5% revenue CAGR. The comps become much easier in 2H25, but we are now concerned about if Extreme can grow sales by double-digits in FY26. Our ratings change to step aside and evaluate.

Lower estimates and price target - We are modeling FY24 revenues down 14% y/y and FY25 up 4%. Our FY24/FY25 EPS forecasts are \$0.56/\$1.00 compared to \$1.20/\$1.37 previously. The \$15 price target is based on 15x FY25 EPS.

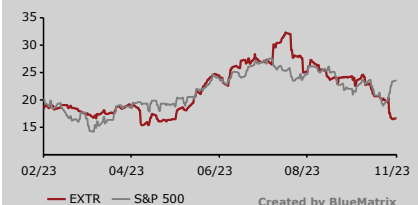
PRICE: \$13.51
TARGET: \$15.00

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Changes	Previous	Current
Rating	Buy	Neutral
Price Target	\$19.00	\$15.00
Q3 24(E) Rev (\$M)	310.4	205.6
FY 24(E) Rev (\$M)	1.29B	1.13B
FY 25(E) Rev (\$M)	1.37B	1.17B
Q3 24(E) EPS	0.28	(0.19)
FY 24(E) EPS	1.20	0.56
FY 25(E) EPS	1.37	1.00

Price	\$13.51
Rating	Neutral
Price Target	\$15.00
52-Week High	\$32.73
52-Week Low	\$13.10
Average Daily Volume (M)	2.3
Shares Outstanding (M)	129.6
Market Cap (\$M)	\$2,157
Net Debt (\$M)	\$25
Enterprise Value (\$M)	\$1,796
CY Gross Margin	61.8%
CY Operating Margin	12.9%



YEAR	Revenue						EPS					
	Sep	Dec	Mar	Jun	Ann	EV/Rev	Sep	Dec	Mar	Jun	Ann	P/E
2023A	297.7	318.3	332.5	363.9	1.31B	1.4x	0.20	0.27	0.29	0.33	1.10	12.3x
2024E	353.1A	296.4A	205.6	270.6	1.13B	1.6x	0.35A	0.24A	(0.19)	0.17	0.56	24.0x
2025E	267.9	286.7	298.1	319.0	1.17B	1.5x	0.16	0.23	0.27	0.34	1.00	13.6x

Please see analyst certification and important disclosures on page 4 of this report.

Exhibit 1 - Extreme Networks Actual vs Estimates, 2Q24, Historicals

US\$ (mn)							
Fiscal Period	2Q23	1Q24	2Q24	2Q24E	Y/Y	Q/Q	vs. RBLT E
Sales	\$318.3	\$353.1	\$296.4	\$295.6	(6.9%)	(16.1%)	0.3%
Gross margins	58.5%	61.1%	62.5%	61.7%	4.0%	1.4%	0.8%
Total operating expenses	\$139.0	\$153.2	\$141.2	\$135.8	1.6%	(7.8%)	4.0%
Operating margin	14.9%	17.7%	14.8%	15.8%	(0.0%)	(2.9%)	(0.9%)
Earnings per share	\$0.27	\$0.35	\$0.24	\$0.25	(11.8%)	(31.4%)	(4.2%)

Source: Company Reports and Rosenblatt Securities Estimates

2Q24 Revenue – Total revenue of \$296mn was in line with the re-announcement. Revenues declined 16% sequentially and 7% y/y. Product revenue of \$187mn fell 17% y/y reflecting the heavy channel digestion and elongated sales cycles. Subscription and support revenue grew 16% y/y, largely driven by cloud subscription growth of 39% y/y. Recurring revenue represented 34%, or ~\$101mn, up 13% y/y. Geographically, the Americas remained relatively solid, declining 17% q/q, but growing 7% y/y, and representing 55% of total revenue. EMEA revenue declined 23% sequentially and 20% y/y. APAC was able to deliver 64% sequential growth, but still declined 15% y/y.

Backlog, Order, and Macro Commentary – Management noted that product backlog returned to normalized levels this quarter, earlier than anticipated. While total bookings continue to fall both sequentially and y/y, the company is starting to see signs of a recovery with bookings approximately even with revenue for the first time in four quarters. The company highlighted that both EMEA and APAC generated double-digit bookings growth on a y/y basis. Further, bookings from the Healthcare, Education, Manufacturing and Transportation/Logistics verticals were all up y/y.

SaaS – SaaS ARR exited the quarter at \$158mn, growing 12% sequentially and 37% y/y. SaaS deferred revenue of \$246mn expanded 4% q/q and 32% y/y. Total recurring revenue of \$101mn was up 13% y/y. With the lower anticipated total revenue in 2024, management now expects recurring revenue to represent 35% of total revenue for FY24, up from ~30% previously.

Margins and Earnings – GMs of 62.5% expanded 140 bps sequentially, 400 bps y/y, and beat our estimate by 80 bps. Operating margin of 14.8% was flat y/y, but fell 290 bps sequentially and missed our estimate by 90 bps. EPS came in at \$0.24.

Balance Sheet and Cash Flow – The company exited the quarter with cash of \$221mn and debt of \$195mn, resulting in net cash of \$26mn. CFFO in the quarter was \$34mn with FCF of \$29mn.

3Q24 Guidance – Once again the company has reset its outlook as funnel dynamics played out differently than expected in 2Q24. Total revenue for 3Q24 is now expected at \$205mn at the midpoint, missing our prior estimate by \$105mn. Extreme guided product revenues down ~\$60mn q/q in 3Q23 with ~\$45mn due to reduction in channel inventory and the rest related to seasonality and longer sales cycles. Management noted that it will continue to implement cost-cutting measures to limit impact to profitability and cash flow. The GMs outlook of 60.5% missed our forecast by 130 bps. Operating margin is expected at (11.6%). The EPS guidance of ~(\$0.20) was well below our \$0.28 number.

4Q24 Guidance – Management provided an initial 4Q24 outlook incorporating the expectation the channel inventory drag will over. Total revenue is expected at ~\$270mn. GMs were guided flat to slightly up q/q. Operating margin is expected to recover with a midpoint of 11.5%. Extreme anticipates higher sell-through than sell-in in 3Q24, and for this to normalize in 4Q24.

Exhibit 2 - Extreme Networks Estimate Changes, 3Q24, FY24-25

US\$ (mn)									
Fiscal Period	3Q24			2024			2025		
	Old	New	% change	Old	New	% change	Old	New	% change
Sales	\$310.4	\$205.6	(33.8%)	\$1,291.3	\$1,125.7	(12.8%)	\$1,369.2	\$1,171.7	(14.4%)
Gross margins	61.8%	60.5%	(1.3%)	61.8%	61.3%	(0.5%)	62.7%	62.2%	(0.5%)
Total operating expenses	\$140.1	\$146.2	4.4%	\$579.3	\$574.0	(0.9%)	\$610.2	\$548.5	(10.1%)
Operating margin	16.7%	(10.6%)	(27.3%)	16.9%	10.3%	(6.6%)	18.2%	15.4%	(2.8%)
Earnings per share	\$0.28	(\$0.19)	(168.2%)	\$1.20	\$0.56	(53.0%)	\$1.37	\$1.00	(27.1%)

Source: Rosenblatt Securities Estimates

EXTN INCOME STATEMENT

US\$ (mn)																		
Calendar Month	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun	Sep	Dec				
Fiscal Period	<u>1Q23</u>	<u>2Q23</u>	<u>3Q23</u>	<u>4Q23</u>	<u>1Q24</u>	<u>2Q24</u>	<u>3Q24E</u>	<u>4Q24E</u>	<u>1Q25E</u>	<u>2Q25E</u>	<u>3Q25E</u>	<u>4Q25E</u>	<u>1Q26E</u>	<u>2Q26E</u>	<u>2022</u>	<u>2023</u>	<u>2024E</u>	<u>2025E</u>
Sales	\$297.7	\$318.3	\$332.5	\$363.9	\$353.1	\$296.4	\$205.6	\$270.6	\$267.9	\$286.7	\$298.1	\$319.0	\$312.6	\$328.3	\$1,112.3	\$1,312.5	\$1,125.7	\$1,171.7
Cost of goods sold (GAAP)	131.0	136.7	140.6	149.5	140.2	113.0	83.3	108.8	106.4	112.1	114.8	121.2	121.0	125.1	482.4	557.7	445.3	454.5
Gross profit	171.3	186.3	196.4	218.9	215.7	185.2	124.4	164.5	164.2	177.5	186.3	201.0	194.8	206.5	649.1	773.0	689.8	729.0
Research and development	51.0	52.6	54.8	55.8	58.0	52.8	75.7	69.0	69.1	70.2	71.6	73.4	68.8	68.9	190.6	214.3	255.5	284.3
Sales and marketing	78.4	80.5	84.0	94.0	91.9	85.2	75.7	69.0	69.1	70.2	71.6	73.4	68.8	68.9	294.5	336.9	321.7	284.3
General and administrative	18.5	24.1	21.7	25.6	23.9	25.4	26.7	27.1	27.6	27.2	26.8	25.5	25.0	26.3	68.7	89.9	103.0	107.2
Other operating exp/(inc)	0.5	0.5	0.5	0.5	0.5	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	3.2	2.0	1.0	0.0
Adjustments	14.1	19.2	18.0	21.0	23.8	31.8	31.8	31.8	31.8	31.8	31.8	31.8	21.0	21.0	52.8	72.4	119.3	127.2
Total operating expenses	<u>135.2</u>	<u>139.0</u>	<u>144.4</u>	<u>155.5</u>	<u>153.2</u>	<u>141.2</u>	<u>146.2</u>	<u>133.3</u>	<u>134.0</u>	<u>135.9</u>	<u>138.1</u>	<u>140.5</u>	<u>141.6</u>	<u>143.1</u>	<u>513.0</u>	<u>574.0</u>	<u>574.0</u>	<u>548.5</u>
Operating income	36.2	47.3	52.0	63.4	62.5	43.9	(21.9)	31.3	30.2	41.6	48.2	60.5	53.2	63.3	136.1	198.9	115.8	180.5
Interest expense	(3.8)	(3.9)	(3.9)	(5.7)	(4.3)	(4.3)	(4.3)	(4.3)	(4.3)	(4.3)	(4.3)	(4.3)	(4.3)	(4.3)	(12.8)	(17.4)	(17.1)	(17.1)
Interest income	0.4	0.9	0.8	1.1	1.2	1.4	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	0.4	3.2	5.1	4.8
Other non-operating inc/(exp)	<u>0.4</u>	<u>0.1</u>	<u>(0.4)</u>	<u>(0.1)</u>	<u>0.4</u>	<u>(0.4)</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>	<u>0.9</u>	<u>0.0</u>	<u>0.0</u>	<u>0.0</u>
Earnings before taxes	33.1	44.5	48.5	60.2	59.8	40.7	(24.9)	28.2	27.1	38.5	45.1	57.5	50.1	60.3	124.6	186.3	103.8	168.2
Income taxes	<u>6.0</u>	<u>8.0</u>	<u>9.7</u>	<u>16.3</u>	<u>13.3</u>	<u>9.2</u>	<u>0.0</u>	<u>6.2</u>	<u>6.0</u>	<u>8.5</u>	<u>9.9</u>	<u>12.6</u>	<u>11.0</u>	<u>13.3</u>	<u>21.2</u>	<u>40.0</u>	<u>28.7</u>	<u>37.0</u>
Net income	27.1	36.5	38.8	43.9	46.5	31.5	(24.9)	22.0	21.2	30.0	35.2	44.8	39.1	47.0	103.4	146.3	75.1	131.2
Earnings per share	\$0.20	\$0.27	\$0.29	\$0.33	\$0.35	\$0.24	(\$0.19)	\$0.17	\$0.16	\$0.23	\$0.27	\$0.34	\$0.30	\$0.36	\$0.78	\$1.10	\$0.56	\$1.00
Avg dil shares out (mn)	132.9	134.5	133.0	132.9	133.5	131.5	129.0	131.5	131.6	131.8	131.9	132.0	132.2	132.3	133.1	133.3	131.4	131.8
Margins																		
Gross margins	57.6%	58.5%	59.1%	60.2%	61.1%	62.5%	60.5%	60.8%	61.3%	61.9%	62.5%	63.0%	62.3%	62.9%	58.4%	58.9%	61.3%	62.2%
Research and development	17.1%	16.5%	16.5%	15.3%	16.4%	17.8%	36.8%	25.5%	25.8%	24.5%	24.0%	23.0%	22.0%	21.0%	17.1%	16.3%	22.7%	24.3%
Sales and marketing	26.3%	25.3%	25.3%	25.8%	26.0%	28.7%	36.8%	25.5%	25.8%	24.5%	24.0%	23.0%	22.0%	21.0%	26.5%	25.7%	28.6%	24.3%
General and administrative	6.2%	7.6%	6.5%	7.0%	6.8%	8.6%	13.0%	10.0%	10.3%	9.5%	9.0%	8.0%	8.0%	8.0%	6.2%	6.9%	9.2%	9.1%
Total operating expenses	45.4%	43.7%	43.4%	42.7%	43.4%	47.7%	71.1%	49.2%	50.0%	47.4%	46.3%	44.0%	45.3%	43.6%	46.1%	43.7%	51.0%	46.8%
Operating margin	12.1%	14.9%	15.6%	17.4%	17.7%	14.8%	(10.6%)	11.6%	11.3%	14.5%	16.2%	19.0%	17.0%	19.3%	12.2%	15.2%	10.3%	15.4%
Income taxes	18.2%	18.0%	19.9%	27.1%	22.2%	22.6%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	17.0%	21.5%	27.6%	22.0%
Net income	9.1%	11.5%	11.7%	12.1%	13.2%	10.6%	(12.1%)	8.1%	7.9%	10.5%	11.8%	14.0%	12.5%	14.3%	9.3%	11.1%	6.7%	11.2%

Source: Company reports and Rosenblatt Securities estimates

Company Description

Extreme Networks is a leading provider of Cloud-driven networking solutions, services and support for small and mid-sized Enterprises with 50 to 5,000 employees in networking-centric verticals like Government, Education, Healthcare, Sports, Entertainment, Hospitality, Manufacturing, Retail, Logistics and Telecom Service Providers. Extreme designs and manufactures Wired and Wireless network infrastructure equipment as well as an advanced Cloud networking platform and applications portfolio using Cloud management, machine learning, and artificial intelligence to deliver network policy, analytics, security, and access controls. Extreme's solutions enable its customers to embrace the value of new Cloud technology without having to rip and replace existing infrastructures. The company derives all of its revenues from the sale of networking equipment, software subscriptions, and maintenance contracts.

Valuation Summary

Our price target of \$15 is based on 15x our FY25 EPS forecast.

Risks

Upside Risk

- **Potential Market Share Gains:** With the HPE acquisition of Juniper pending, EXTR could grab some of Juniper's enterprise market share and accelerate growth and profitability ahead of estimates.
- **Enterprise Market Returns Strong:** While EXTR is currently facing headwinds of channel digestion and elongated sales cycles, the alleviation of these pressures ahead of expectations could result in the company outperforming in certain periods.
- **New Sales Focus:** In early January the company elevated Norman Rice to the position of Chief Commercial Officer with the intention of driving revenue growth and leading the company's sales, partner, services and supply chain organizations. His efforts, among others could deliver outpaced revenue growth.
- **Near Term Catalysts Arise:** We are moving to a neutral rating on the basis that we believe the company does not have sufficient near term catalyst. If the company were to have new catalysts arise, the company could outperform our expectations.

Downside Risk

- **Macroeconomic risk:** EXTR's revenues and gross margin depend significantly on general economic conditions and the demand for products in the market. Economic weakness or uncertainty, customer financial difficulties, and constrained spending on network expansion and enterprise infrastructure may result in decreased revenues and profits.
- **Potential for increased competition:** The market in which EXTR sells its products is highly competitive and constantly evolving. Many current and potential competitors have broader portfolios which enable them to bundle networking products with other networking and information technology products. Increased competition could result in price reductions, fewer customers orders, reduced gross margins, and loss of market share.
- **Technological shifts:** The market is characterized by rapid technological change. If EXTR does not anticipate future technological shifts, market needs, and opportunities, the company could lose customers.
- **Supply chain:** Extreme's revenue growth and gross margins can be negatively impacted by tight supply of components and increased transportation and logistics costs. The supply chain could remain challenging for longer than expected, which could lead to further negative revenue and gross margins revisions.

Required Disclosures

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Distribution of Ratings/IB Services				
Rating	Count	Percent	IB Serv./Past 12 Mos.	
			Count	Percent
BUY	78	72.22	5	6.41
NEUTRAL	25	23.15	1	4.00
SELL	5	4.63	0	0

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